

ENDORSEMENT HO-0304 (ED. 03-24)

Water Damage, Discharge and Overflow Endorsement

Form Number: HO-0304

Edition Date: 03-24

Policy Line: homeowners

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ATTACHING TO AND FORMING PART OF THE POLICY SHOWN IN THE DECLARATIONS. ALL OTHER TERMS AND CONDITIONS REMAIN UNCHANGED.

1. PURPOSE AND SCOPE

This endorsement amends the water damage provisions of the homeowners policy wording to which it is attached. Where the language of this endorsement conflicts with the base wording, this endorsement controls. All other terms, conditions and exclusions of the policy remain in full force. This endorsement applies only to direct physical loss to covered property arising from the escape of water within the described premises, and does not extend to flood, surface water or tidal action, which remain excluded under the base wording.

Capitalised terms used but not defined in this endorsement have the meaning given to them in Form HO-0710, Definitions and General Conditions Amendment. The insured is directed to that form for the meaning of sudden and accidental, supply line, and seepage, each of which materially affects the operation of Clause 3 below.

2. COVERAGE GRANT - SUDDEN AND ACCIDENTAL DISCHARGE

2.1 We cover direct physical loss to covered property caused by the sudden and accidental discharge, leakage or overflow of water or steam from a plumbing, heating, air conditioning, fire protective sprinkler system, or household appliance located within the described dwelling. A supply line that ruptures, splits or otherwise fails abruptly is a sudden and accidental discharge for the purposes of this clause, and loss resulting from it is covered subject to the exclusions in Clause 3 and the limits in Clause 5.

2.2 We also cover the reasonable cost of tearing out and replacing any part of the dwelling necessary to gain access to the system or appliance from which the water escaped. We do not cover the cost of repairing or replacing the system or appliance itself, except where that system or appliance is itself damaged by a separate covered peril.

2.3 Coverage under this clause is available only where the discharge is first detected and reported in accordance with Clause 4. A discharge that the insured knew of, or reasonably should have known of, and did not report is not a sudden and accidental discharge regardless of how the failure began.

3. EXCLUSIONS APPLICABLE TO WATER DAMAGE

3.1 We do not cover loss described in the exclusion table below. Each exclusion is identified by a code which is used consistently across all endorsements attached to this policy line. Where an exclusion is shown as conditional, it applies only in the circumstances stated in the disposition column.

EXCLUSION TABLE 3.1 - WATER DAMAGE EXCLUSIONS

CODE	EXCLUSION AND DISPOSITION
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E-10	Flood, surface water, waves, tidal water or overflow of a body of water. Disposition: Excluded absolutely.
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E-11	Water below the surface of the ground exerting pressure on foundations. Disposition: Excluded absolutely.
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- E-12 Water damage occurring while the dwelling is vacant for more than 60 consecutive days.
Disposition: Excluded unless heat maintained and water shut off.
- E-13 Discharge from a system the insured failed to drain before a period of vacancy.
Disposition: Excluded absolutely.
- E-14 Loss caused by freezing of a plumbing system during the heating season.
Disposition: Excluded unless heat maintained at 55F or above.
- E-15 Cost of repairing the appliance or system from which the water escaped.
Disposition: Excluded, tear-out still covered under Clause 2.2.
- E-16 Rust, corrosion, wet rot or dry rot forming before the discharge.
Disposition: Excluded absolutely.
- E-17 Constant or repeated seepage or leakage of water occurring over a period of fourteen (14) days or more, whether or not the insured was aware of it.
Disposition: Excluded absolutely; does NOT apply to a sudden and accidental discharge under Clause 2.1.
- E-18 Mould, fungus or wet rot except as provided by the sublimit in Clause 5.2.
Disposition: Excluded above sublimit.
- E-19 Water damage caused by or resulting from a sewer or drain back-up.
Disposition: Excluded here; see Form HO-0521.
- E-20 Loss to landscaping, paving or fencing caused by escaping water.
Disposition: Excluded absolutely.
- E-21 Water damage arising out of a home-sharing occupancy.
Disposition: Excluded; see Form HO-0633.

Note: Exclusion E-17 is directed at a slow, ongoing failure. It is not triggered by an abrupt rupture. A burst supply line that discharges water over a period shorter than fourteen days is adjudicated under Clause 2.1 and remains covered.

4. CONDITIONS PRECEDENT TO PAYMENT

4.1 The insured must give notice of a water damage loss within thirty (30) days of the date the discharge is first discovered. Notice given after that period voids coverage for the loss unless the insured shows that notice could not reasonably have been given sooner.

4.2 The insured must take reasonable steps to protect the property from further damage, including shutting off the water supply to the affected system. Costs reasonably incurred in doing so are covered and are not subject to the deductible in Clause 5.3.

4.3 The insured must preserve the failed component and make it available for inspection. Disposal of the failed component before we have had a reasonable opportunity to inspect it may prejudice the claim to the extent our investigation is impaired.

5. LIMITS, SUBLIMITS AND DEDUCTIBLE

5.1 The most we will pay for any one water damage loss under this endorsement is the Coverage A limit shown in the declarations, less the deductible in Clause 5.3.

5.2 Our total liability for mould, fungus or wet rot resulting from a covered water damage loss is limited to ten thousand dollars (\$10,000) in any one policy year, regardless of the number of losses or claimants. This sublimit is part of, and not in addition to, the Coverage A limit.

5.3 A deductible of two thousand five hundred dollars (\$2,500) applies separately to each water damage loss under this endorsement. This deductible replaces, and is not in addition to, the all-perils deductible shown in the declarations.

END OF FORM HO-0304 ED. 03-24.